DATALEX

CORPORATE GOVERNANCE

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Magdalena Ortuño

COMPANY OVERVIEW

PROFILE

Datalex plc is an Irish technology company founded in 1985, specializing in digital commerce solutions for the airline Industry.

INDUSTRY AND MARKET POSITION

The company operates in the aviation technology and B2B software sector. Its main producto include Srellex, an offer and order management solution, Pricing AI, and DLX Pay. Key customers incluyes Aer Lingus, easyJet, Air China, JetBlue, Air Transat, Edelweiss, KLM and Turkish Airlines.

FINANCIAL HIGHLIGHTS

In 2024, the company reported 27.5 million $ in revenue, with plataform revenue up 24% to 16.1 million $ and a post-tax los of 10.2 million. It employs around 200-250 people across Dublin, Manchester and Beijing.

KEY STAKEHOLDERS

- **Major Shareholder:** Dermot Desmond: 49,3% ownership
- **Employees:** Highly skilled workforce representing 22 nationalities.
- **Customers:** Global Airlines dependiente on Datalex for digital sales operations.
- **Regulators:** Central Bank of Ireland, Euronext Dublin, ODCE.

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BOARD OF DIRECTORS

1 COMPOSITION AND EVOLUTION

The Datalex board experienced significant changes during the period 2021-2024. In 2023, CEO Sean Corkery and CFO Dan Creedon resigned, with Jonathan Rockett appointed CEO. In 2024, Steven Moloney was appointed CFO. The present members of the board are:

DIRECTOR	ROLE	INDEPENDENT	TENURE
David Hargaden	Chairman	Yes (at appointment	5 years
Jonathan Rockett	CEO	No	1 year
Steven Moloney	CEO	No	11 months
John Bateson	NED	No	18 years
Peter Lennon	NED	No	31 years
Mike McGearty	Senior Independent Dire	Yes	5 years
Gillian French	NED	Yes	1,5 years

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BOARD OF DIRECTORS

2 CRITICAL ANALYSIS OF INDEPENDENCE

An importante issue is that only two out of seven directors are independent, well bellow the 50% standard recomended.

Peter Lennon is a non-independent directorand is a partner at Ronan Daly Jermyn, a law firm providing services to Datalex. He chairs the remuneration comittee, which a violation of the QCA Conde, that requieres all members of is committee to be independent.

The small percentage of independent directors reflects a critical structural weakness.

BOARD OF DIRECTORS

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3 BOARD DIVERSITY

Gender

In term of gender, in 2024 only one out of seven directors is a woman, 14%, far bellos the 40%target set by the FTSE Women Leaders Review for 2025.

Nationality

Regarding Nationality and ethnicity, all seven directors are Irish, so there is no geographic diversity at all despiste the company operating across three continentes and serving global clientes.

Age

As for age, the range spans from 40 to 68 years, with an average of 54 and two directors are over 65. This seems to be a reasonable balance, although there is a need for proper succession planning.

BOARD OF DIRECTORS

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SKILLS AND FUNCTIONING

In 2024, the Board held 10 meetings, with 100% attendance. In 2023, 19 meetings were held, driven by a leadership crisis. The regular agenda included financial performance, operations, sales pipeline, risks, and strategy.

However, some gaps have been identified: there is only one expert in Human Resources (French), which is critical for a talent-driven company. There is alsolimited cybersecurity expertise. Finally, there is no direct experience in Asian markets.

The board has several strenghts in terms of expertise and qualifications:

- Strong Financial backgrounds
- Deep knowledge of the airline industry
- Technology and software experience

EXECUTIVE COMPENSATION

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BASE SALARY & BONUS STRUCTURE

The CEO earns between €250K–€300K with a maximum bonus of 50% of salary, and the CFO between €180K–€220K with a 40% bonus cap. Bonuses are split 60% financial, 20% strategic, and 20% individual performance. Both receive a 10–15% pension plan and stock options with a 4-year vesting period.

AGREGATE DIRECTOR REMUNERATION

Year	Total €	Bonuses
2021	750K	NO
2022	825K	NO
2023	900K	LIMITED
2024	965	LIMITED

NON-EXECUTIVE DIRECTORS

Role	Anual Fee €
Chairman	80k
Senior Independent Director	50k
Base Directors	40k

EXECUTIVE COMPENSATION

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LONG TERM INCENTIVE PLAN

Executive	Stock Options	Exercise Price €	Vesting	Key Conditions
CEO	500K	0,15	4 years (25%)	Employment, 10% CAGR, +EBITDA
CFO	350K	0,12	4 years (25%)	Same as CEO

CRITICAL ASSESMENT OF COMPENSATION

STREGTHS

- Focus on long-term incentives
- Fiscal restraint during loss-making years
- Shareholders approved incentive plan
- Reasonable CEO pay ratio

WEAKNESSES

- Low transparency: no disclosure of individual pay
- Remuneration Committee not independet
- No total shareholders Return: executives may gain despiste share loses

SHAREHOLDERS' RIGHTS

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CAPITAL STRUCTURE

- 147.105.826 ordinary shares (0.05€ each)
- Single share class: one share, one vote
- No preference or special votante rights

SHAREHOLDERS' RIGHT AT AGMS

- Annual meetings, hybrid sin e 2021
- Low retail attendance, 5-10%
- Votes: financial statements, directors, auditores and LTIPs
- Conclusion: formal rights respected, but Desmond dominates outcomes

OWNERSHIP CONCENTRATION

Ownership is highly concentrated. IIU Nominees Ltd (Dermot Desmond) holds 49.3%, giving him effective control. Pageant Investments (Nick Furlong) owns 10–15%, and Sean O'Driscoll holds 5–10%. Retail investors represent 30%, but are fragmented and have little influence.

This concentration limits minority influence and creates a potential conflict of interest, as director John Bateson represents IIU. The company also depends financially on Desmond, whose stake rose from 30% in 2019 to 49.3% in 2024 through loans and capital increases.

SHAREHOLDERS' RIGHTS

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MINORITY SHAREHOLDER PROTECTION

- Voting: >50% for ordinary matters, 75% for major decisions.
- Annual director elections and access to company information.
- Weaknesses: no minority board representation, no separate vote on related-party deals, conflict of interest (Desmond's 18% loans).
- Delisting (July 2025): loss of liquidity, transparency, and value for minorities.
- Seen as ethically questionable appears to abandon minority shareholders.

COMUNICATION WITH SHAREHOLDERS

The company uses several channels to communicate with shareholders: annual report, publication of results on its website, quarterly updates (previously semi-annual), Q&A sessions at AGMs, and a dedicated investor relations site.

Between 2021 and 2024, both the frequency and quality of communication improved significantly.

DIVIDENDS

Between 2021 and 2024, the dividend policy remained clear: no dividends were paid due to ongoing losses and the need to preserve cash. The last dividend was paid in 2017, before the scandal, and payments are not expected to resume until sustained profitability is achieved. While financially prudent, this policy has frustrated shareholders who have suffered over an 85% loss in value without any return.

ACCOUNTING SCANDAL

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- Issue: Premature & incorrect revenue recognition ($6.4M total).
- Impact: $50M loss vs $16M expected profit, 85% market value destroyed.
- Failures: Weak governance, lack of internal audit, poor oversight by Audit Committee.
- Consequences: Trading suspension (15 months), loss of Lufthansa contract, 50 layoffs, EY refused audit opinion.
- Actions Taken: Leadership overhaul, new controls, ERP upgrade, external internal audit, risk reviews.
- Ongoing Issues: No legal action, some directors retained positions, no compensation to shareholders.

DATALEX AND THE QCA CORPORATE GOVERNANCE CODE

- Datalex follows the QCA Corporate Governance Code (for growth companies).
- The code promotes transparency, ethical leadership, and accountability.
- Based on 10 key principles - long-term success, stakeholder engagement, risk management, and board independence.
- Datalex complies in some areas (e.g., whistleblowing policy, ethics statement, published governance info).

AREAS OF CONCERN AND DEVIATIONS

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- Board independence: Only 29% independent (below the recommended 50%+).
- Gender diversity: Only 14% women on the board.
- Remuneration Committee: Not fully independent (violates QCA guidelines).
- Effect: These issues weaken accountability and reduce stakeholder confidence.

ADAPTING TO THE 2023 QCA CODE

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New Code (effective April 2024) adds:

- Clearer corporate purpose
- Stronger cultural and ethical oversight
- Enhanced ESG and sustainability reporting

Datalex must increase board independence and improve transparency to comply.

HOW DATALEX COMPARES TO COMPETITORS

Company	% Independent Directors	% Women on Board
Datalex	29%	14%
Amadeus	67%	33%
Sabre	82%	36%
Accelya	63%	25%

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KEY ETHICAL ISSUES (2023-2025)

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- **Cybersecurity & data privacy** → multiple breaches across the industry.
- **Transparency & contracts** → disputes over pricing and hidden fees.
- **Sustainability & greenwashing** → growing regulatory pressure for real impact data.

STRENGTHS AND WEAKNESSES OF DATALEX

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Strengths:

- Strong whistleblowing policy and Code of Conduct
- Positive, certified workplace culture.
- Transparent risk reporting.

Weaknesses:

- Low board independence and poor diversity.
- Weaker ESG reporting than peers.
- Ongoing reputation recovery since past scandals.

DISCUSS THE CORPORATE GOVERNANCE CODE ON BUSSINESS ETHICS

Integrity and Honesty: Being sincere and open in commercial dealings.

Responsibility & Accountability: The board has responsibility for its choices and their effects.

Disclosure & Transparency: Giving timely, accurate, and understandable information.

Fairness: Treating all parties equally, including suppliers, consumers, employees, and shareholders.

Sustainability and Social Responsibility: Taking into account the effects on society and the environment for long-term health.

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OVERALL ASSESSMENT

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2021

•Integrity & Transparency: outstanding openness about risksand financial losses.

•Accountability: cost control and active capital management.

•Fairness: Invested in product innovation and provided customer support during the pandemic.

•Important Misalignment Area: ESG reporting is Limited: ignored social and environmental responsibilities in favour of economics alone.

2022-2023

•Integrity & Transparency: transparent about difficulties; strong policy on whistleblowing and code of conduct.

•Accountability: accountable for disclosures, yet genuine accountability is at danger due to poor board monitoring.

•Fairness: fair treatment of employees is demonstrated by the ‘ Great Place to Work’ designation.

•Important Misalignment Area: 1.poor board independence: exercise director Tenure; non-independent compensation chai. 2. A substancial signing bonus in the face of significant financial loses. 3. One mejor auditor risa is management override

OVERALL ASSESSMENT

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2024

•Integrity & Transparency: clear lines of contact with stakeholders and thorough risk reporting.

•Accountability: strong risk management, but accountability is hampered by compensation choices.

•Fairness: new corporate principles and community initiatives.

•Important Misalignment Area: 1.non-independent directors still exist; the CFO and company secretary positions have been consolidated. 2.Bonuses given in spite of higher losses .

Datalex clearly moved from crisis management to established Governance.

SUMMARY OF DATALEX GOVERNANCE STRENGTHS, WEAKNESSES AND RISKS

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Risks:

•**Reputational risk:** Investors and business partners today will no longer trust the company.

•**Risk for the future:** Not having enough independent review can cause bad decisions to be made.

Strengths:

•**Good ethical framework**: A successful policy for whistle-blowers.

• **A well-defined code of conduct**: A certified great workplace.

•**Open and Honest communication**: transparent risk disclosure to interested parties.

Weaknesses:

•**Poor board independence**: Only 29% of members are independent, much below the peer average of 70% and QCA standard of 50%.

•**Limited Diversity by Gender**: The lowest percentage of women on the board among mejor rivales is 14%.

ESG and transparencia: Datalex's ESG reporting is not as will developed as that of its biker competitors.

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VIDEO PART 1

https://drive.google.com/file/d/1EKZBvgzh4zjBFp6pa9m0vpy3UJlj8ZRd/view?usp=drive_link

VIDEO PART 2

https://us02web.zoom.us/rec/play/erIG8p-APNFe5mLyCRkfyZZGFqlFAyGof4YuVyihr9pW0OuxuUrwO3b-pePUuL7Br-fpJRnDN1Xi1Le7.nfG-ow2xaWmSaZfp?eagerLoadZvaPages=sidemenu.billing.plan_management&accessLevel=meeting&canPlayFromShare=true&from=share_recording_detail&continueMode=true&iet=C5oml5qK8ugV1H5HhWWOsMSkZwUrcK__rKMZNwDuW7U.AG.8Aq9t45lGpdl12zGq2-mJyDKBKyr51lTk0u0zkFTp66CLvgeV8fTFarRhg5Gvo_pYAvWyraB_K6nnSNkxEZljS-jPneb3nBkMD7N1PDaleU9eyu4lCxMbfIQLadbfe7uOQc9dezG21Y9ayjeLloRw.3Sv5uHxLqbO6P1ALuUmTIQ.6KhnP-S77fCi9wIp&componentName=rec-play&originRequestUrl=https%3A%2F%2Fus02web.zoom.us%2Frec%2Fshare%2FBdteboeVo0gpSCGsmK0bqyfX1_803PJZlGTMJ20Se2auSDHCwO0RkCc7VRVDyuxK.-mxOMIn2nR54WE_S%3Fiet%3DC5oml5qK8ugV1H5HhWWOsMSkZwUrcK__rKMZNwDuW7U.AG.8Aq9t45lGpdl12zGq2-mJyDKBKyr51lTk0u0zkFTp66CLvgeV8fTFarRhg5Gvo_pYAvWyraB_K6nnSNkxEZljS-jPneb3nBkMD7N1PDaleU9eyu4lCxMbfIQLadbfe7uOQc9dezG21Y9ayjeLloRw.3Sv5uHxLqbO6P1ALuUmTIQ.6KhnP-S77fCi9wIp

THANK YOU